Stratum Capital Bank

Enterprise Governance & Risk Framework

Chapter 16

Decision Analysis & Risk Interpretation Handbook

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16.0 Chapter Control Information

This chapter forms an integral part of the Enterprise Governance & Risk Framework (EGRF) and is to be read in conjunction with Chapter 12 (Borrower Assessment Standards), Chapter 13 (Underwriting Policy and Product Guidelines), Chapter 14 (Credit Grading Methodology), and Chapter 15 (Portfolio Monitoring and Early Warning Indicators). Where a conflict exists between this chapter and any preceding chapter, the more conservative risk position shall prevail unless otherwise directed by the Enterprise Risk Governance Committee.

This chapter is subject to annual review by the Credit Policy Secretariat, with interim updates issued as required by regulatory change, portfolio performance trends, or material findings arising from Internal Audit or Model and Decision Governance reviews.

- Chapter Sponsor: Chief Credit Risk Officer
- Chapter Custodian: Head of Credit Policy
- Review Cycle: Annual, or upon material change
- Distribution: All Credit Analysts, Underwriters, Risk Managers, Credit Committee Members, Portfolio Managers, and Internal Audit staff
- Superseded Documents: Interim Decision Communication Guidance (Circular 2021-07)

16.1 Introduction

16.1.1 Purpose of This Chapter

The preceding chapters of the Enterprise Governance & Risk Framework establish how the Bank collects, verifies, and assesses borrower information, and how that information is translated into an underwriting decision. This chapter addresses a distinct and equally important question: once a decision has been reached, how should that decision be understood, explained, and defended?

Every lending decision made by the Bank, whether an approval, a conditional approval, a referral for manual review, or a decline, must be capable of being explained in plain, defensible business terms to a range of audiences, including the borrower, frontline staff, senior management, the Credit Committee, and Internal Audit. A decision that cannot be clearly explained cannot be considered a sound decision, regardless of the outcome it produces. This chapter therefore establishes the standards, vocabulary, and structured approach that all credit staff must use when interpreting and communicating the reasons behind a lending outcome.

16.1.2 The Case for Transparency

Transparency in lending decisions serves several purposes that extend well beyond regulatory compliance. First, it protects the Bank's reputation by ensuring that every decision can withstand scrutiny from customers, regulators, and the public. Second, it supports fair and equitable treatment of applicants by requiring that decisions be grounded in observable, documented borrower characteristics rather than subjective impression. Third, it strengthens the Bank's internal control environment by creating a consistent record that can be reviewed, audited, and, where necessary, challenged. Finally, transparency builds trust between the Bank and its customers, who are entitled to understand why a lending decision affecting their financial lives was made.

Analysts should treat the obligation to explain a decision as being just as important as the obligation to reach the correct decision in the first place. A correct decision that is poorly explained can still expose the Bank to complaint, dispute, and reputational harm.

16.1.3 Consistency in Lending Decisions

Consistency means that borrowers presenting materially similar risk profiles should receive materially similar treatment, and that the reasoning applied to one file should be capable of being applied, without contradiction, to another file with comparable characteristics. Consistency does not mean rigid uniformity; professional judgement will always play a role in individual files. It does mean that any departure from the standard interpretation of a risk factor must be documented and justified by reference to specific, identifiable circumstances of the file in question.

Analysts should routinely ask themselves whether the explanation they are writing for a given file would be one they would be comfortable defending if applied to every other file bearing the same characteristics. If the answer is no, the explanation requires further work.

16.1.4 Evidence-Based Decision Making

Every explanation offered for a lending decision must be traceable to specific, verifiable evidence contained in the borrower's file. Evidence includes, but is not limited to, income documentation, credit bureau data, repayment history, account statements, employment verification, and any other information gathered during the underwriting process in accordance with Chapter 12. Explanations that rely on impression, assumption, or unverified assertion are not acceptable and must not appear in any decision record.

Where evidence is incomplete, contradictory, or unverifiable, this must be stated explicitly in the decision record rather than glossed over. An honest account of incomplete evidence is always preferable to a confident-sounding explanation that overstates the certainty of the underlying facts.

16.1.5 Professional Judgement

While this chapter provides a structured framework for interpreting risk factors, it is not a substitute for the professional judgement of trained credit staff. Lending decisions frequently involve some degree of interpretation, particularly where indicators point in different directions. Analysts are expected to apply sound judgement within the boundaries of this framework and to document the reasoning behind that judgement clearly enough that another qualified analyst could follow it.

Professional judgement should never be used as a label to justify a decision that cannot otherwise be supported by evidence. Where judgement is exercised, the analyst must identify precisely which factors informed that judgement and why they were weighted as they were.

16.1.6 Risk Communication

The way a decision is communicated must be tailored to its audience without altering the underlying substance of the decision. A decision explained to a Credit Committee will necessarily include more technical detail than a decision explained to a customer, but both explanations must be consistent with one another and must not contradict the documented rationale on file. Section 16.8 of this chapter provides detailed guidance on tailoring communication by audience.

16.1.7 Documentation Standards

All decision rationale must be recorded at the time the decision is made, using the standard fields established in the Bank's loan origination system. Rationale recorded after the fact, or reconstructed from memory during an audit or dispute, is not an acceptable substitute for contemporaneous documentation. Section 16.7 of this chapter sets out the specific documentation requirements applicable to each decision category.

16.1.8 Scope and Applicability

This chapter applies to all consumer and small business lending decisions made by the Bank, across all channels and products, unless a specific product guideline issued under Chapter 13 states otherwise. It applies equally to decisions made by individual underwriters operating within delegated authority and to decisions made collectively by a Credit Committee.

16.2 Decision Drivers

16.2.1 Overview

A lending decision is rarely the product of a single borrower characteristic. In the overwhelming majority of files, the final outcome reflects the combined weight of several factors, some of which reduce risk and some of which increase it. This section establishes the classification scheme that analysts must use when identifying and describing the factors that drive a lending decision.

16.2.2 Major Risk Drivers

Major risk drivers are borrower characteristics that, on their own, are typically sufficient to materially shift a file toward decline or toward approval. These are the factors that should be listed first in any decision rationale, and any decision record that does not identify the major risk drivers present in a file is considered incomplete. Examples of characteristics that commonly function as major risk drivers include credit grade, debt-to-income ratio, presence of recent serious delinquency, and history of bankruptcy or charge-off. On the positive side, a long and unblemished repayment history, verified strong income relative to obligations, and an excellent credit grade commonly function as major positive drivers.

16.2.3 Moderate Risk Drivers

Moderate risk drivers influence the decision but rarely determine it in isolation. They typically reinforce or partially offset a major driver. Examples include length of credit history, revolving utilization at moderate levels, number of recent credit inquiries, and employment tenure. Moderate drivers are important for distinguishing between borderline files that might otherwise appear identical when only major drivers are considered.

16.2.4 Minor Risk Drivers

Minor risk drivers have a limited independent effect on the decision but can be useful for breaking ties between otherwise comparable files, or for identifying a secondary area requiring monitoring after approval. Examples include loan purpose, minor variations in account mix, and the presence of a small number of older, resolved derogatory items.

16.2.5 Positive Indicators

Positive indicators are characteristics that reduce assessed risk. They should always be documented in the decision record, even where the ultimate decision is a decline, because they inform the Bank's understanding of the borrower's overall profile and may be relevant to future applications or to a conditional approval structure.

16.2.6 Negative Indicators

Negative indicators are characteristics that increase assessed risk. As with positive indicators, negative indicators must be documented even where the ultimate decision is an approval, since they may inform pricing, conditions, or post-approval monitoring.

16.2.7 Supporting Indicators

Supporting indicators are secondary pieces of evidence that reinforce a conclusion already suggested by a major or moderate driver. For example, a stable, lengthy employment history supports a conclusion of income reliability already suggested by verified income documentation.

16.2.8 Conflicting Indicators

Conflicting indicators point in different directions and require explicit reconciliation in the decision record. A file showing an excellent credit grade alongside a recently reported delinquency is an example of conflicting evidence that cannot be resolved by simply citing one factor and ignoring the other. Section 16.3.4 provides detailed guidance on resolving conflicting indicators.

16.3 Evaluating Decision Factors

16.3.1 Determining Relative Contribution

When preparing a decision rationale, the analyst must rank the identified factors in order of their contribution to the outcome, rather than listing them in the order in which they happened to be reviewed. The ranking should reflect the actual weight the factor carried in reaching the decision, not the ease with which the factor can be described. As a working standard, the two or three most consequential factors should be presented first and described in the greatest detail, with secondary and minor factors following.

16.3.2 Identifying Dominant Contribution

A factor is considered to have contributed the most to a decision where, absent that single factor, the outcome would plausibly have been different. Analysts should test each candidate factor against this standard: if the file is imagined without the factor in question, does the decision change? If so, the factor is a dominant contributor and should be identified as such in the rationale.

16.3.3 Identifying Moderate Contribution

A factor has contributed moderately where its removal would not, by itself, change the outcome, but where its presence measurably strengthened or weakened the case for the decision that was made. Moderate contributors are typically the factors that move a file from a borderline position to a clear position.

16.3.4 Resolving Conflicting Evidence

Where a file presents indicators that point in different directions, the analyst must not simply select the indicator that supports a preferred outcome. Instead, the analyst should apply the following sequence:

- Identify each conflicting indicator and state it plainly.
- Assess the reliability and recency of each indicator; more recent and better-verified evidence should generally carry greater weight than older or less well-supported evidence.
- Consider whether one indicator explains or contextualizes the other, for example where a temporary reduction in income is fully explained by a documented, time-limited circumstance.
- Where the conflict cannot be resolved with confidence, the file should be referred for manual review or additional documentation rather than resolved by assumption.

16.3.5 Compensating Strengths

A compensating strength is a positive factor strong enough to offset a specific, identified weakness elsewhere in the file. Compensating strengths must be identified explicitly and must be shown to relate directly to the weakness being offset. A general statement that a borrower is otherwise strong is not sufficient; the rationale must specify which strength offsets which weakness and why the offset is considered adequate.

16.3.6 Weighting Discipline

Analysts must avoid two common errors when weighting factors. The first is recency bias, in which the most recently reviewed piece of information is given disproportionate weight simply because it was the last thing considered. The second is anchoring, in which an initial impression of the file, formed early in the review, unduly influences the interpretation of all subsequent information. Both errors are addressed by following the structured ranking approach set out in this section and by revisiting the full file before finalizing the rationale.

16.4 Positive Lending Indicators

16.4.1 Stable Employment

Definition: Stable employment refers to a documented history of continuous employment with the same employer, or within the same occupation or industry, over an extended period, typically two years or more, without unexplained gaps.

Business Interpretation: Stable employment indicates a reliable and predictable income stream, which directly supports the borrower's ongoing capacity to service debt. It also suggests a lower likelihood of sudden, unplanned income disruption during the life of the loan.

Why It Lowers Risk: Continuity of employment reduces the probability of an involuntary income shock, which is one of the most common precursors to delinquency. A borrower with a demonstrated pattern of stable employment has, by definition, already weathered whatever ordinary economic fluctuations occurred during that period without loss of income.

Typical Lending Implications: Stable employment supports approval at standard terms and can serve as a compensating strength against moderate weaknesses elsewhere in the file, such as a shorter credit history.

Example: An applicant employed continuously for seven years in a skilled trade, with no gaps in employment history, presents a materially lower income-continuity risk than an applicant with the same income level but three employers in the past eighteen months.

16.4.2 High Income

Definition: High income refers to verified gross or net income that substantially exceeds the minimum threshold required to service the requested obligation, relative to the borrower's existing debt load.

Business Interpretation: Income level establishes the ceiling of a borrower's debt-servicing capacity. Higher verified income provides a larger buffer between required payments and available resources.

Why It Lowers Risk: A larger income buffer means that a given increase in expenses, or a moderate reduction in income, is less likely to result in an inability to meet payment obligations.

Typical Lending Implications: High income supports approval and may support a higher approved loan amount, subject to all other underwriting requirements under Chapter 13 being satisfied. High income alone does not override adverse findings on repayment history or credit grade.

Example: An applicant with verified income comfortably exceeding servicing requirements for the requested facility, and with no other adverse findings, is a strong candidate for approval at standard terms.

16.4.3 Low Debt Burden

Definition: Low debt burden refers to a debt-to-income ratio that falls comfortably within the Bank's preferred range, reflecting a modest proportion of income already committed to existing obligations.

Business Interpretation: A low debt burden indicates that the borrower retains substantial income capacity, after servicing existing obligations, to absorb a new payment obligation.

Why It Lowers Risk: The lower the proportion of income already committed, the greater the borrower's flexibility to manage the requested obligation alongside unforeseen expenses.

Typical Lending Implications: Low debt burden is one of the strongest positive indicators available to underwriting staff and frequently supports approval even where other factors are moderately unfavourable.

Example: A borrower whose existing obligations consume a small minority of monthly income presents a fundamentally different risk profile from a borrower of identical income whose obligations consume the majority of that income.

16.4.4 Strong Credit History

Definition: Strong credit history refers to a documented record of credit accounts managed over time without material adverse events, such as delinquency, default, or collection activity.

Business Interpretation: A strong credit history is the single best available proxy for how a borrower is likely to manage a new obligation, because it reflects demonstrated behaviour across multiple credit relationships rather than a single data point.

Why It Lowers Risk: Past behaviour, particularly behaviour sustained across varying economic conditions, is one of the most reliable predictors of future behaviour available to the underwriting process.

Typical Lending Implications: Strong credit history supports approval and can offset moderate weaknesses in income documentation, subject to the minimum verification standards in Chapter 12 being met.

Example: A borrower managing several credit relationships over a decade without a single reported delinquency demonstrates a consistent pattern of responsible credit management.

16.4.5 Excellent Repayment Behaviour

Definition: Excellent repayment behaviour refers to a track record of on-time payments across all reported obligations, with no late payments reported in the recent reporting history.

Business Interpretation: Repayment behaviour is a direct, observed measure of the borrower's willingness and ability to meet obligations as agreed, distinct from credit history length or account mix.

Why It Lowers Risk: A borrower who has consistently met payment obligations on time has demonstrated, through actual conduct rather than inference, the behaviour the Bank is seeking to predict.

Typical Lending Implications: Excellent repayment behaviour is among the strongest available positive indicators and typically supports approval at the most favourable available terms.

Example: A borrower with an unbroken record of on-time payments across all reported accounts over several years should be regarded as presenting materially lower repayment risk than a borrower with the same account balances but an inconsistent payment record.

16.4.6 Verified Information

Definition: Verified information refers to borrower-provided information, particularly income and employment, that has been independently confirmed through documentation or third-party verification in accordance with Chapter 12 standards.

Business Interpretation: Verification removes uncertainty about the accuracy of borrower-provided data and allows the underwriting decision to be based on confirmed fact rather than self-reported assertion.

Why It Lowers Risk: Unverified information carries an inherent risk of inaccuracy, whether through error or misrepresentation. Verification eliminates this source of uncertainty from the assessment.

Typical Lending Implications: Verified information strengthens confidence in every other factor derived from it. Where income is verified, the debt-to-income calculation built upon it can be relied upon with a higher degree of confidence.

Example: A borrower whose stated income has been confirmed through payroll documentation and employer verification presents a more reliable file than a borrower whose income is based solely on self-reported figures.

16.4.7 Low Credit Utilization

Definition: Low credit utilization refers to a small proportion of available revolving credit currently in use relative to total available limits.

Business Interpretation: Utilization reflects how heavily a borrower currently relies on available credit. Low utilization suggests financial capacity in reserve rather than credit reliance to meet ordinary expenses.

Why It Lowers Risk: Borrowers operating with substantial unused credit capacity typically have greater flexibility to absorb financial shocks without becoming delinquent, and low utilization is also associated with more disciplined financial management generally.

Typical Lending Implications: Low utilization supports approval and is frequently cited as a supporting indicator alongside strong credit history or excellent repayment behaviour.

Example: A borrower using a small fraction of available revolving limits presents a materially different risk profile from a borrower operating near the maximum of available limits, even where reported balances are similar in absolute terms.

16.4.8 Long Credit History

Definition: Long credit history refers to an extended period, typically ten years or more, since the borrower's earliest reported credit account was opened.

Business Interpretation: A longer credit history provides a larger sample of observed borrower behaviour across a wider range of economic conditions, increasing confidence in any conclusions drawn from that history.

Why It Lowers Risk: A track record sustained over a longer period, particularly one that spans varying economic conditions, provides stronger evidence of consistent behaviour than a shorter track record, even one that is currently favourable.

Typical Lending Implications: Long credit history supports approval and adds confidence to conclusions drawn from other credit-history-based indicators.

Example: A borrower with fifteen years of consistently well-managed credit accounts provides stronger evidence of durable financial discipline than a borrower with two years of similarly clean history.

16.4.9 Excellent Grade

Definition: Excellent grade refers to the borrower's placement in the highest credit grading tiers established under Chapter 14 of this framework, reflecting the most favourable overall risk classification available.

Business Interpretation: Grade is a summary classification that reflects the combined assessment of multiple underlying factors. An excellent grade indicates that this combined assessment places the borrower among the lowest-risk segment of applicants.

Why It Lowers Risk: Because grade already incorporates multiple risk factors in combination, an excellent grade provides strong summary evidence that the borrower's overall profile is favourable, even before individual factors are examined in detail.

Typical Lending Implications: Excellent grade strongly supports approval at the most favourable terms available for the applicable product and is frequently the single most influential positive factor in a decision rationale.

Example: A borrower placed in the highest grading tier under Chapter 14 should ordinarily be approved at standard or preferred terms absent a specific, clearly documented adverse finding.

16.4.10 Strong Financial Stability

Definition: Strong financial stability refers to the combined presence of consistent income, manageable obligations, adequate reserves, and an absence of recent financial disruption, considered together rather than as isolated factors.

Business Interpretation: Financial stability is a holistic assessment that draws on income, debt, employment, and account history together, providing a rounded view of the borrower's overall financial resilience.

Why It Lowers Risk: A borrower who is stable across multiple dimensions simultaneously is less exposed to the risk that a single adverse event in one area of their finances will result in an inability to service debt.

Typical Lending Implications: Strong financial stability supports approval and is often the deciding factor in files where individual indicators are each only moderately positive but collectively paint a reassuring picture.

Example: A borrower with steady employment, moderate debt, adequate income buffer, and no recent adverse credit events demonstrates the kind of rounded stability that supports confident approval even without any single standout positive factor.

16.5 Negative Lending Indicators

16.5.1 High Debt-to-Income Ratio

Definition: A high debt-to-income ratio exists where a substantial proportion of the borrower's income is already committed to servicing existing obligations, leaving limited capacity for a new payment.

Business Interpretation: A high debt-to-income ratio indicates that the borrower has limited flexibility to absorb a new obligation without financial strain, and limited buffer to absorb unexpected expenses or income disruption.

Why It Increases Risk: The smaller the residual income available after existing obligations, the more likely that a new payment obligation, combined with an ordinary financial disruption, will result in missed payments.

Typical Lending Implications: A high debt-to-income ratio commonly supports a decline or, where other factors are favourable, a conditional approval at a reduced amount or with additional conditions.

Example: An applicant whose existing obligations already consume the majority of income presents materially higher repayment risk on a new obligation than an applicant with a comparable income but substantially lower existing commitments.

16.5.2 Poor Credit Grade

Definition: Poor credit grade refers to placement in the lowest grading tiers established under Chapter 14, reflecting an unfavourable combined risk classification.

Business Interpretation: As with excellent grade, poor grade is a summary classification reflecting multiple underlying factors assessed in combination.

Why It Increases Risk: A poor grade indicates that the borrower's combined profile, across the factors considered in the grading methodology, places them among the higher-risk segment of applicants.

Typical Lending Implications: Poor grade is frequently, though not always, sufficient on its own to support a decline, and at minimum requires a clearly documented compensating strength to support any approval.

Example: An applicant placed in the lowest grading tier should ordinarily be declined or referred for manual review, absent a specific, well-documented compensating factor sufficient to offset the grading outcome.

16.5.3 Recent Delinquencies

Definition: Recent delinquencies refer to reported instances of missed or late payments occurring within the recent reporting window, typically the preceding twelve to twenty-four months.

Business Interpretation: Recent delinquency is direct, observed evidence that the borrower has, in the recent past, failed to meet an obligation as agreed.

Why It Increases Risk: Recency matters because it reflects the borrower's current financial condition and habits rather than a resolved, historical episode. Recent delinquency is one of the strongest available predictors of near-term future delinquency.

Typical Lending Implications: Recent delinquency typically supports a decline or manual review, and the severity of the implication increases with the number and recency of the delinquent events.

Example: A borrower with two missed payments reported within the past year presents materially higher near-term risk than a borrower whose only delinquent event occurred more than five years ago and has since been consistently resolved.

16.5.4 Bankruptcies

Definition: Bankruptcy refers to a formal insolvency proceeding reported on the borrower's credit file, whether discharged or still active.

Business Interpretation: A bankruptcy filing indicates a prior, severe inability to meet financial obligations as they came due, resulting in formal legal intervention.

Why It Increases Risk: Bankruptcy represents the most severe recorded credit event available in the underwriting process and is associated with a substantially elevated probability of future credit difficulty, particularly in the period shortly following discharge.

Typical Lending Implications: A recent bankruptcy typically supports a decline. Where a bankruptcy is older and has been followed by a sustained period of clean credit behaviour, a conditional approval may be considered in accordance with the seasoning requirements set out in Chapter 13.

Example: An applicant with a bankruptcy discharged within the past two years presents substantially higher risk than an applicant whose bankruptcy was discharged a decade ago and has since been followed by consistently well-managed credit.

16.5.5 High Revolving Utilization

Definition: High revolving utilization refers to a large proportion of available revolving credit currently in use relative to total available limits.

Business Interpretation: High utilization suggests heavy reliance on available credit, potentially to meet ordinary living expenses, and reduced flexibility to absorb further borrowing.

Why It Increases Risk: Borrowers operating near the limits of available credit have little reserve capacity and are more likely to experience financial strain from a relatively modest disruption to income or expenses.

Typical Lending Implications: High utilization commonly supports a decline or reduced approved amount, particularly where combined with other negative indicators.

Example: An applicant using nearly all available revolving credit presents a materially different risk profile from an applicant with substantial unused capacity, even where reported income is similar.

16.5.6 Low Income

Definition: Low income refers to verified income that falls close to, or below, the minimum threshold required to comfortably service the requested obligation.

Business Interpretation: Low income limits the borrower's capacity to absorb a new payment obligation without straining essential living expenses.

Why It Increases Risk: A limited income base leaves little room for a new obligation to be added without displacing other necessary spending, increasing the likelihood of missed payments.

Typical Lending Implications: Low income commonly supports a decline or a reduced approved amount, and typically requires strong compensating factors elsewhere in the file to support approval.

Example: An applicant whose income barely covers the proposed payment, once existing obligations are accounted for, presents elevated risk regardless of the strength of other factors.

16.5.7 Frequent Credit Applications

Definition: Frequent credit applications refers to a higher-than-typical number of credit inquiries recorded on the borrower's file within a recent period.

Business Interpretation: A pattern of frequent applications for new credit may indicate an urgent or ongoing need for additional financing, which can be associated with underlying financial strain.

Why It Increases Risk: While a single inquiry carries limited significance, a cluster of recent inquiries across multiple lenders is associated with a heightened probability of financial difficulty and a corresponding increase in future obligations that may not yet be reflected in current balances.

Typical Lending Implications: Frequent recent applications should prompt closer review of the borrower's overall obligation picture and may support a moderate downgrade in the assessed risk position, particularly where combined with other negative indicators.

Example: An applicant with several credit inquiries recorded within the past few months presents a different risk picture from an applicant with a single inquiry associated with the current application.

16.5.8 Unverified Income

Definition: Unverified income refers to borrower-stated income that has not been confirmed through documentation or third-party verification.

Business Interpretation: Unverified income introduces uncertainty into every calculation that depends on it, including debt-to-income ratio and overall servicing capacity.

Why It Increases Risk: Self-reported income, without independent confirmation, carries a risk of inaccuracy that can materially distort the underwriting assessment if relied upon uncritically.

Typical Lending Implications: Unverified income typically requires either additional documentation before a decision can be finalized, or a more conservative treatment of income in the underwriting calculation, in accordance with Chapter 12 verification standards.

Example: An application where stated income cannot be corroborated through any available documentation should be treated with materially greater caution than an otherwise identical file supported by verified payroll records.

16.5.9 Large Existing Debt

Definition: Large existing debt refers to a substantial absolute balance of outstanding obligations, independent of the debt-to-income ratio calculation.

Business Interpretation: A large absolute debt balance can indicate elevated exposure even where current income comfortably services minimum payments, particularly if income were to decline.

Why It Increases Risk: Large absolute balances reduce the borrower's flexibility to manage a change in circumstances, such as an interest rate change on variable obligations or a reduction in income, and increase the borrower's total exposure to adverse events.

Typical Lending Implications: Large existing debt should be considered alongside debt-to-income ratio rather than in isolation, and may support a reduced approved amount even where the ratio itself remains within acceptable limits.

Example: An applicant carrying a substantial absolute debt balance, even at a serviceable current ratio, presents a different risk profile from an applicant with a small absolute balance at a similar ratio, due to the greater impact of any adverse change in circumstances.

16.5.10 Poor Repayment Behaviour

Definition: Poor repayment behaviour refers to a pattern of inconsistent or late payments across reported obligations, whether or not those instances individually rise to the level of formal delinquency.

Business Interpretation: Repayment behaviour is a direct behavioural indicator, and a pattern of inconsistency, even short of default, suggests weaker payment discipline than a consistently on-time record.

Why It Increases Risk: A demonstrated pattern of inconsistent payment behaviour is one of the more reliable predictors that a borrower may not reliably meet a new obligation, regardless of other favourable factors.

Typical Lending Implications: Poor repayment behaviour commonly supports a decline or a manual review, and should be weighted more heavily than a single isolated incident.

Example: A borrower with a recurring pattern of payments made after the due date, even where none escalated to formal delinquency, presents materially higher risk than a borrower whose payments have been consistently made on or before the due date.

16.6 Combined Decision Interpretation

16.6.1 Purpose of Combined Scenario Analysis

Individual indicators rarely occur in isolation. This section sets out how commonly observed combinations of positive and negative indicators should be interpreted, to provide analysts with a consistent reference point when files present mixed evidence.

16.6.2 Scenario Library

Scenario: High Income combined with High Debt-to-Income Ratio.

Interpretation: Mixed Risk. High income suggests strong capacity in absolute terms, but a high ratio indicates that most of that income is already committed. The two factors partially offset one another, and the resulting position typically requires closer examination of the composition of existing debt before a final decision is reached.

Scenario: Excellent Grade combined with Low Income.

Interpretation: Moderate Risk. An excellent grade indicates a favourable combined historical profile, but low income constrains absolute servicing capacity going forward. The historical strength provides some comfort, but the file should not be treated as low risk without also confirming that the requested payment remains comfortably serviceable against actual income.

Scenario: Poor Grade combined with Strong Employment.

Interpretation: Requires Additional Review. Strong employment supports income continuity, but a poor grade suggests that the borrower's historical credit conduct has been unfavourable notwithstanding stable employment. This combination should not be resolved by favouring either factor alone; a manual review examining the specific drivers of the poor grade is required.

Scenario: High Income combined with Poor Credit History.

Interpretation: Conflicting Evidence. Income supports capacity to pay, but poor credit history raises doubt about willingness or consistency in meeting obligations. Analysts should examine whether the poor credit history reflects an isolated, explained episode or an ongoing pattern before reaching a conclusion.

Scenario: Low Debt Burden combined with Recent Delinquency.

Interpretation: Moderate Risk. A low debt burden suggests ample capacity, but a recent delinquency suggests a recent lapse in payment discipline that capacity alone did not prevent. The cause of the delinquency should be examined; a documented one-time circumstance is treated differently from an unexplained lapse.

Scenario: Long Credit History combined with High Revolving Utilization.

Interpretation: Mixed Risk. A long history provides confidence in the borrower's general conduct, but current high utilization suggests a present-day change in financial pressure that the longer history does not fully address. The trend in utilization over recent periods should be examined rather than relying on the point-in-time figure alone.

Scenario: Strong Financial Stability combined with Frequent Recent Applications.

Interpretation: Requires Additional Review. Stability across income, employment, and obligations is reassuring, but a recent pattern of credit-seeking behaviour may indicate an emerging need not yet reflected in reported balances. The purpose behind the recent applications should be established before finalizing the assessment.

Scenario: Verified High Income combined with Bankruptcy More Than Seven Years Prior.

Interpretation: Moderate Risk, Trending Favourable. Verified income supports strong current capacity, and a bankruptcy well outside the recent reporting window, followed by a sustained period of clean conduct, carries substantially less weight than a recent filing. This combination often supports approval subject to confirmation that no adverse credit events have occurred since discharge.

Scenario: Excellent Repayment Behaviour combined with Unverified Income.

Interpretation: Requires Additional Documentation. A consistent record of on-time payments is a strong positive indicator of willingness to pay, but the absence of verified income leaves genuine uncertainty about capacity. The file should not proceed to a final decision until income can be corroborated.

Scenario: Low Credit Utilization combined with Poor Grade.

Interpretation: Conflicting Evidence. Low utilization suggests disciplined current credit management, while a poor grade suggests that the borrower's broader historical profile has been unfavourable. The specific factors driving the poor grade should be reviewed to determine whether they are historical and resolved, or ongoing.

16.6.3 General Principles for Combined Interpretation

When indicators point in the same direction, the resulting rationale should state plainly that the factors are mutually reinforcing and should identify which factor is primary. When indicators point in different directions, the rationale must explicitly acknowledge the conflict, explain how it was resolved, and identify any additional information that was obtained, or should be obtained, to resolve it with greater confidence. A rationale that mentions only the factors supporting the final decision, while omitting contrary evidence present in the file, does not meet the documentation standard established in Section 16.7.

16.7 Decision Justification Framework

16.7.1 Structure of a Complete Justification

Every decision record must contain the following five elements, in the following order: Supporting Evidence, Primary Factors, Secondary Factors, Risk Summary, and Professional Recommendation. This structure applies to every decision category described below, with the content of each element varying according to the outcome.

16.7.2 Justifying Approvals

Supporting Evidence should list the specific documented factors underlying the decision, drawn from verified sources wherever possible. Primary Factors should identify the one or two factors that most strongly supported approval, such as excellent grade or low debt-to-income ratio. Secondary Factors should identify supporting considerations that reinforced the primary factors without independently driving the outcome. The Risk Summary should provide a brief, honest statement of the borrower's overall risk position, including any negative indicators present even though the outcome was approval. The Professional Recommendation should confirm the approved terms and note any conditions attached.

16.7.3 Justifying Conditional Approvals

In addition to the standard structure, a conditional approval record must clearly state the specific condition imposed, the specific risk factor the condition is intended to address, and the consequence of the condition not being satisfied. A conditional approval should never be recorded without a clear link between the condition and an identified risk factor.

16.7.4 Justifying Manual Reviews

A referral to manual review must identify the specific conflicting or ambiguous evidence that prevented a straightforward decision, and must specify what additional information or analysis is required to resolve the referral. A manual review referral that simply states the file is complex, without identifying the specific point of ambiguity, does not meet the documentation standard.

16.7.5 Justifying Declines

A decline record must identify the primary factor or factors that drove the decision with specificity sufficient to allow the reason to be communicated clearly to the applicant in accordance with applicable adverse action requirements. Generic or vague statements of reason are not acceptable. The Risk Summary for a decline should also note any positive factors present in the file, both for completeness and because they may be relevant to a future application.

16.8 Communication Guidelines

16.8.1 General Principles

The substance of a decision rationale must remain constant regardless of audience; only the level of technical detail and the framing should vary. Any communication of a decision, in any format and to any audience, must be consistent with the documented rationale on file.

16.8.2 Communicating to Customers

Communication to customers should be clear, respectful, and free of internal jargon. It should identify the primary reason or reasons for the decision in terms the customer can readily understand and act upon, and should avoid implying certainty about matters that were, in fact, subject to judgement. Where applicable regulatory adverse action requirements apply, the communication must satisfy those requirements in addition to the standards in this chapter.

16.8.3 Communicating to Loan Officers

Loan officers require sufficient detail to answer likely follow-up questions from the customer and to identify whether a future re-application might have a different outcome if specific factors change. Communication to loan officers should therefore include the primary and secondary factors identified in the decision record.

16.8.4 Communicating to Branch Managers

Branch managers typically require a summary level of detail sufficient to understand patterns across multiple files, particularly where a branch is seeing an unusual volume of declines or referrals. Communication should focus on the primary drivers observed and any trends worth escalating.

16.8.5 Communicating to Risk Managers

Risk managers require the full technical detail of the decision record, including all identified conflicting indicators and how they were resolved, to support portfolio-level monitoring and to identify any emerging patterns that may warrant a policy review.

16.8.6 Communicating to Credit Committees

Communication to a Credit Committee should follow the full five-element justification structure set out in Section 16.7, presented in a manner that allows the Committee to reach an independent view of the recommendation, rather than a summary that merely restates the recommending analyst's conclusion.

16.8.7 Communicating to Internal Auditors

Communication to Internal Audit must provide complete access to the documented rationale, all underlying evidence referenced in that rationale, and a clear explanation of how the standards in this chapter were applied to the specific file under review. Internal Audit communication should never be abbreviated or summarized in a manner that omits factors relevant to the audit's scope.

16.9 Enterprise Case Studies

16.9.1 Case Study One: Strong Approval

Applicant Information: Applicant with verified stable employment of eight years in the same role, verified income comfortably exceeding servicing requirements, and an excellent credit grade.

Positive Factors: Excellent grade, verified high income, low debt-to-income ratio, long and clean credit history, low revolving utilization.

Negative Factors: None material identified.

Overall Assessment: The file presents a uniformly favourable profile across all major and moderate risk drivers, with no conflicting evidence requiring reconciliation.

Final Decision: Approved at preferred terms.

Business Justification: Excellent grade and low debt-to-income ratio were the primary factors supporting approval, reinforced by verified income and a long, clean credit history as secondary factors.

Key Lessons: Where all major indicators align favourably, the decision rationale can be concise, but must still identify each contributing factor rather than relying solely on the summary grade.

16.9.2 Case Study Two: Conditional Approval Due to Verification Gap

Applicant Information: Applicant with a strong credit grade and excellent repayment behaviour, but income supported only by self-reported figures at the time of initial review.

Positive Factors: Strong grade, excellent repayment behaviour, long credit history.

Negative Factors: Unverified income.

Overall Assessment: The credit-based indicators were uniformly strong, but the absence of verified income introduced uncertainty regarding actual servicing capacity.

Final Decision: Conditional approval, subject to submission of payroll documentation confirming stated income within a specified period.

Business Justification: The primary factors supporting approval were the strong grade and repayment history; the condition was imposed specifically to resolve the identified verification gap before funds were disbursed.

Key Lessons: Strong credit-based indicators do not eliminate the need for income verification; a conditional structure allows the Bank to proceed while ensuring the specific gap is closed.

16.9.3 Case Study Three: Decline Due to Elevated Debt Burden

Applicant Information: Applicant with adequate income and satisfactory credit history, but existing obligations consuming the substantial majority of monthly income.

Positive Factors: Satisfactory credit history, no recent delinquency.

Negative Factors: High debt-to-income ratio, large existing absolute debt balance.

Overall Assessment: Notwithstanding a clean credit history, the residual income available after existing obligations was insufficient to comfortably support the requested payment.

Final Decision: Declined.

Business Justification: The primary factor driving the decision was the elevated debt-to-income ratio, reinforced by the large absolute debt balance; the clean credit history, while positive, did not offset the fundamental capacity constraint.

Key Lessons: A clean credit history reflects past willingness to pay but does not, by itself, establish present capacity to take on additional obligations.

16.9.4 Case Study Four: Manual Review Due to Conflicting Evidence

Applicant Information: Applicant with an excellent credit grade but a delinquency reported within the past year.

Positive Factors: Excellent grade, long credit history, low utilization.

Negative Factors: Recent reported delinquency.

Overall Assessment: The excellent grade and the recent delinquency present directly conflicting signals regarding current repayment reliability that could not be resolved from the file as initially presented.

Final Decision: Referred for manual review.

Business Justification: The conflict between an excellent summary grade and a recent, specific adverse event required direct inquiry into the circumstances of the delinquency before a decision could be reached with confidence.

Key Lessons: A favourable summary grade does not override a specific, recent adverse event; the two must be reconciled rather than one being disregarded in favour of the other.

16.9.5 Case Study Five: Decline Following Recent Bankruptcy

Applicant Information: Applicant with a bankruptcy discharged within the past eighteen months and limited subsequent credit history.

Positive Factors: No additional adverse events reported since discharge.

Negative Factors: Recent bankruptcy, limited post-discharge credit history from which to assess rebuilding conduct.

Overall Assessment: While no further adverse events have occurred since discharge, the limited time elapsed provides insufficient evidence of sustained, rebuilt financial conduct.

Final Decision: Declined, with guidance provided regarding the Bank's standard seasoning period for future reconsideration.

Business Justification: The primary factor was the recency of the bankruptcy relative to the Bank's seasoning standards established under Chapter 13; insufficient time has elapsed to assess a rebuilt pattern of conduct.

Key Lessons: The absence of further adverse events since a severe historical event is a positive sign but is not, by itself, sufficient to overcome a recency-based concern.

16.9.6 Case Study Six: Approval Supported by Compensating Strength

Applicant Information: Applicant with a moderately elevated debt-to-income ratio but substantial verified income and an excellent, lengthy repayment history.

Positive Factors: Excellent repayment behaviour, long credit history, high verified income.

Negative Factors: Moderately elevated debt-to-income ratio.

Overall Assessment: The elevated ratio was offset by a documented compensating strength, specifically the combination of high verified income and an excellent, lengthy repayment record demonstrating sustained capacity to manage a heavier obligation load.

Final Decision: Approved at standard terms.

Business Justification: The compensating strength was explicitly identified and shown to relate directly to the specific weakness it was offsetting, consistent with Section 16.3.5 of this chapter.

Key Lessons: A single negative indicator need not result in decline where a clearly identified and directly relevant compensating strength is present and properly documented.

16.9.7 Case Study Seven: Decline Due to Pattern of Frequent Applications

Applicant Information: Applicant with satisfactory income and grade, but six credit inquiries recorded within the preceding four months across multiple lenders.

Positive Factors: Adequate income, satisfactory grade.

Negative Factors: Frequent recent credit applications, moderately elevated existing debt.

Overall Assessment: The pattern of recent applications, combined with moderately elevated existing debt, suggested a possible emerging financial pressure not yet reflected in reported balances.

Final Decision: Declined, with an invitation to reapply once the pattern of recent applications had stabilized.

Business Justification: The primary factor was the concentration of recent credit-seeking activity, which introduced material uncertainty about undisclosed emerging obligations.

Key Lessons: A satisfactory grade and income do not offset a clear behavioural signal of emerging financial pressure; such patterns warrant caution even absent any single disqualifying factor.

16.10 Best Practices

16.10.1 Transparency

Every decision rationale should be written as though it will be read by the applicant, even where it will not be. This discipline naturally produces clearer, more defensible explanations and discourages reliance on vague or unsupported statements.

16.10.2 Consistency

Analysts should periodically compare their own decision rationale against other recently decided files bearing similar characteristics to confirm that consistent standards are being applied. Material unexplained variation between similar files should be raised with the Head of Credit Policy.

16.10.3 Professional Judgement

Judgement should always be exercised within, not instead of, the structured framework established in this chapter. Where judgement is exercised, the specific reasoning must be documented with the same rigor as any other element of the decision rationale.

16.10.4 Documentation

Documentation should be completed contemporaneously, in the standard fields provided, and should be sufficiently detailed that a colleague unfamiliar with the file could understand the decision without needing to consult the analyst directly.

16.10.5 Fairness

Decision rationale must rely exclusively on the borrower characteristics and evidence permitted under the Bank's lending policies and applicable law. Any factor not permitted for use in credit decisions under those policies must never appear in a decision rationale, whether as a primary, secondary, or contextual factor.

16.10.6 Risk Governance

Patterns identified across multiple decision records, whether relating to a particular indicator, a particular branch, or a particular product, should be escalated to the Credit Policy Secretariat for review, in accordance with the governance structure established in Chapter 15.

16.10.7 Audit Readiness

Every decision record should be prepared to a standard that would allow it to be reviewed by Internal Audit at any time without further explanation or reconstruction. This is the ultimate test of whether the documentation standards in this chapter have been met.

16.10.8 Closing Statement

The quality of the Bank's lending decisions is measured not only by their accuracy but by the clarity, consistency, and rigor with which they can be explained. This chapter establishes the standard that all credit staff are expected to meet in interpreting, justifying, and communicating every lending decision made on behalf of the Bank.

16.11 Quick Reference Summary Tables

16.11.1 Positive Indicator Summary

Indicator	Typical Driver Class	Primary Effect on Decision
Stable Employment	Moderate to Major	Supports income continuity
High Income	Major	Expands servicing capacity
Low Debt Burden	Major	Increases residual capacity
Strong Credit History	Major	Predicts future conduct
Excellent Repayment Behaviour	Major	Direct evidence of willingness to pay
Verified Information	Supporting	Increases confidence in all derived figures
Low Credit Utilization	Moderate	Signals reserve capacity
Long Credit History	Moderate	Increases confidence in track record
Excellent Grade	Major	Summarizes multiple favourable factors
Strong Financial Stability	Major	Holistic resilience indicator

16.11.2 Negative Indicator Summary

Indicator	Typical Driver Class	Primary Effect on Decision
High Debt-to-Income Ratio	Major	Reduces residual servicing capacity
Poor Credit Grade	Major	Summarizes multiple unfavourable factors
Recent Delinquencies	Major	Direct evidence of recent payment failure
Bankruptcies	Major	Evidence of severe historical financial distress

Indicator	Typical Driver Class	Primary Effect on Decision
High Revolving Utilization	Moderate	Signals limited reserve capacity
Low Income	Major	Constrains absolute servicing capacity
Frequent Credit Applications	Moderate	Signals possible emerging financial pressure
Unverified Income	Supporting	Introduces uncertainty into capacity calculation
Large Existing Debt	Moderate	Increases exposure to adverse change
Poor Repayment Behaviour	Major	Direct evidence of inconsistent conduct

16.11.3 Using the Summary Tables

The summary tables in this section are intended as a quick orientation reference only. They must never be used as a substitute for the full definitions, business interpretations, and worked examples provided in Sections 16.4 and 16.5, nor as a substitute for the individualized analysis required for any specific file. The driver class assigned to each indicator reflects its typical, but not universal, contribution; the specific facts of a given file may justify a different classification, provided that departure is documented in accordance with Section 16.3.

16.12 Decision Record Template and Field Guide

16.12.1 Purpose of the Template

This section describes the standard fields that must be completed in the Bank's loan origination system for every lending decision, consistent with the five-element justification structure established in Section 16.7. Analysts should refer to this section whenever completing a decision record, particularly for files that are new to their experience.

16.12.2 Field: Applicant Summary

This field should contain a brief, factual summary of the applicant and the request, including the product type, requested amount, and stated purpose. This field must not contain any preliminary conclusion about the likely outcome; it is a neutral statement of what was requested.

16.12.3 Field: Supporting Evidence

This field should list every piece of evidence relied upon in reaching the decision, identifying the source of each piece of evidence and whether it was independently verified. Evidence should be listed regardless of whether it supported or weighed against the final outcome.

16.12.4 Field: Primary Factors

This field should identify the one to three factors that most heavily influenced the outcome, consistent with the dominant-contribution test set out in Section 16.3.2. Each primary factor must be linked to a specific piece of evidence listed in the Supporting Evidence field.

16.12.5 Field: Secondary Factors

This field should identify any factors that reinforced or moderated the primary factors without independently driving the outcome, consistent with Section 16.3.3.

16.12.6 Field: Conflicting Evidence and Resolution

This field must be completed whenever the file contains indicators pointing in different directions, in accordance with Section 16.3.4. Where no conflicting evidence is present, the field should state this explicitly rather than being left blank, so that a reviewer can confirm the absence of conflict was considered rather than overlooked.

16.12.7 Field: Risk Summary

This field should provide a concise, balanced statement of the applicant's overall risk position, including any negative factors present even where the decision was favourable, and any positive factors present even where the decision was unfavourable.

16.12.8 Field: Professional Recommendation

This field should state the final decision, the terms or conditions attached, and, where applicable, the specific condition and consequence of non-satisfaction described in Section 16.7.3.

16.12.9 Field: Reviewing Officer Attestation

Every decision record above a delegated authority threshold established under Chapter 13 must be attested by a reviewing officer, confirming that the record has been reviewed against the standards in this chapter and found complete.

16.13 Additional Enterprise Case Studies

16.13.1 Case Study Eight: Small Business Applicant with Mixed Personal and Business Indicators

Applicant Information: Owner-operator applicant with strong personal credit history but a relatively short operating history for the associated business.

Positive Factors: Strong personal credit grade, excellent personal repayment behaviour, adequate verified personal income.

Negative Factors: Limited operating history available for the business, moderate reliance on personal income to support the request.

Overall Assessment: Personal indicators were uniformly favourable, but the limited business operating history meant that business-specific performance could not yet be independently assessed with confidence.

Final Decision: Conditional approval at a reduced amount, with a scheduled review upon the business reaching the standard operating history threshold set out in Chapter 13.

Business Justification: The primary factors supporting a measured approval were the strong personal credit indicators; the reduced amount and scheduled review directly addressed the specific gap in business operating history.

Key Lessons: Strong personal indicators can support a measured approval where a specific, identifiable gap exists elsewhere in the file, provided the structure of the approval directly addresses that gap.

16.13.2 Case Study Nine: Approval Notwithstanding an Isolated Historical Delinquency

Applicant Information: Applicant with a single delinquency reported four years prior, fully resolved, with an unbroken record of on-time payments in every period since.

Positive Factors: Excellent recent repayment behaviour, long credit history, low debt-to-income ratio, verified income.

Negative Factors: One historical delinquency, now resolved.

Overall Assessment: The isolated nature of the delinquency, its age, and the unbroken favourable record in every period since supported a conclusion that it was not representative of the borrower's current conduct.

Final Decision: Approved at standard terms.

Business Justification: The primary factors were the sustained favourable conduct in the periods following the isolated delinquency and the strength of current capacity indicators; the historical event was documented but not treated as determinative given its age and isolation.

Key Lessons: A single, resolved, and dated adverse event should be weighed in the context of the borrower's subsequent conduct rather than treated with the same weight as a recent or recurring event.

16.13.3 Case Study Ten: Decline Due to Combination of Moderate Negative Factors

Applicant Information: Applicant with no single major negative indicator, but a combination of moderately elevated utilization, several recent inquiries, and a comparatively short credit history.

Positive Factors: No recent delinquency, adequate stated income.

Negative Factors: Moderately elevated revolving utilization, frequent recent applications, short credit history, unverified income.

Overall Assessment: While no single factor was individually severe, the combination of several moderate negative indicators, together with the absence of income verification, produced an overall risk position inconsistent with approval at this time.

Final Decision: Declined, with guidance on the specific factors that would most improve a future application.

Business Justification: The Risk Summary explicitly identified that the decision rested on the cumulative weight of several moderate factors rather than any single dominant factor, consistent with the requirement in Section 16.3 that combined effects be assessed rather than considered only individually.

Key Lessons: A file need not contain a single severe negative indicator to warrant decline; a sufficient accumulation of moderate negative indicators, particularly combined with unverified income, can independently support that outcome.

16.14 Glossary of Terms

Term	Definition
Adverse Action	A decline or unfavourable change in terms communicated to an applicant, subject to applicable regulatory notice requirements
Compensating Strength	A positive factor specifically identified as offsetting a specific, identified weakness elsewhere in the file
Debt-to-Income Ratio	The proportion of a borrower's income already committed to servicing existing obligations
Delegated Authority	The level of decision-making authority assigned to an individual underwriter under Chapter 13
Grade	The summary risk classification assigned to a borrower under the methodology established in Chapter 14
Major Risk Driver	A factor typically sufficient, on its own, to materially influence the outcome of a decision
Manual Review	A referral of a file for individualized assessment outside standard automated or delegated processing
Minor Risk Driver	A factor with limited independent effect, useful chiefly for distinguishing between comparable files
Moderate Risk Driver	A factor that reinforces or offsets other factors but rarely determines an outcome alone
Revolving Utilization	The proportion of available revolving credit currently in use
Seasoning	The minimum period the Bank requires to elapse following a severe adverse event before reconsidering an application
Verification	The independent confirmation of borrower-provided information through documentation or third-party sources

16.15 Chapter Cross-References and Related Policies

16.15.1 Related Chapters

This chapter should be read alongside Chapter 12 (Borrower Assessment Standards), which governs how information is gathered and verified; Chapter 13 (Underwriting Policy and Product Guidelines), which governs delegated authority, seasoning requirements, and product-specific terms; Chapter 14 (Credit Grading Methodology), which governs how the summary grade referenced throughout this chapter is derived; and Chapter 15 (Portfolio Monitoring and Early Warning Indicators), which governs how patterns identified across multiple decision records are escalated and monitored at the portfolio level.

16.15.2 Related Governance Bodies

The Credit Policy Secretariat maintains this chapter and is the first point of contact for questions regarding its interpretation. The Enterprise Risk Governance Committee holds ultimate authority over the content of this chapter and any exceptions to it. The Model and Decision Governance function, established under separate charter, reviews the ongoing performance and fairness of the Bank's decision processes more broadly and may request supporting information prepared under the standards in this chapter.

16.15.3 Chapter Maintenance

Suggested amendments to this chapter should be submitted in writing to the Head of Credit Policy, together with the specific rationale for the proposed change and any supporting portfolio data. Amendments are subject to review and approval by the Enterprise Risk Governance Committee prior to incorporation into the chapter.

16.16 Product-Specific Application of This Framework

16.16.1 Overview

The indicators, driver classifications, and interpretation principles set out in Sections 16.2 through 16.6 apply across all consumer and small business lending products offered by the Bank. However, the relative weight given to individual indicators, and the specific thresholds that trigger heightened review, vary by product in accordance with the product guidelines established under Chapter 13. This section describes how the general framework should be applied to the Bank's principal product categories.

16.16.2 Unsecured Instalment Loans

For unsecured instalment lending, debt-to-income ratio, credit grade, and repayment history carry the greatest weight, since the Bank has no recourse to collateral in the event of default and must therefore rely most heavily on the borrower's demonstrated capacity and willingness to pay. Analysts should give particular attention to the interaction between debt-to-income ratio and absolute existing debt described in Section 16.5.9, since unsecured exposure is most sensitive to a borrower's total obligation load rather than any single ratio taken in isolation.

16.16.3 Secured Instalment Loans

Where a loan is secured by collateral, the presence of security moderates, but does not eliminate, the weight given to capacity-based indicators. Verified income and debt-to-income ratio remain primary considerations, since the Bank's underwriting objective remains an orderly repayment relationship rather than reliance on collateral recovery. Analysts must not treat the presence of collateral as a substitute for a sound capacity assessment; collateral value and recovery considerations are addressed separately under the collateral standards in Chapter 13 and do not alter the interpretation principles set out in this chapter.

16.16.4 Revolving Credit Products

For revolving credit products, current and historical utilization, as described in Sections 16.4.7 and 16.5.5, carry increased weight relative to instalment products, because utilization behaviour is both an input to, and a continuing predictor of, performance on a revolving facility. Frequent credit applications, described in Section 16.5.7, also warrant closer attention for revolving products, since a pattern of seeking additional revolving capacity across multiple lenders is particularly indicative of emerging reliance on credit to meet ordinary expenses.

16.16.5 Small Business Facilities

For small business lending, the framework in this chapter applies to the personal indicators of the principal owner or guarantor in addition to any business-specific financial information assessed under separate small business underwriting standards. Where a business has a limited operating history, analysts should apply the principle described in Case Study Eight (Section 16.13.1): personal indicators may support a measured, conditional approval structure that directly addresses the specific gap presented by limited business history, rather than either disregarding the gap or declining a file that is otherwise well supported.

16.16.6 Applicability Across Channels

The interpretation principles in this chapter apply equally regardless of the channel through which an application is received, whether branch, digital, or intermediary. Analysts and reviewing officers must not adjust the weight given to any indicator based on the channel of origination; any observed pattern of differing outcomes by channel should be escalated to the Credit Policy Secretariat as a potential consistency concern under Section 16.10.2.

16.17 Escalation and Exception Handling

16.17.1 When Escalation Is Required

Escalation beyond the reviewing analyst is required in any of the following circumstances: the file falls outside the analyst's delegated authority under Chapter 13; the file presents conflicting evidence that cannot be resolved with confidence after the steps described in Section 16.3.4; the proposed decision would depart from the standard interpretation of a major risk driver described in Section 16.2.2; or the analyst has a good-faith concern that a decision may not be consistent with the standards in this chapter.

16.17.2 Escalation Pathway

Files requiring escalation should be referred in the first instance to a senior underwriter or team lead. Where the senior underwriter is unable to resolve the matter, or where the file exceeds the senior underwriter's own delegated authority, the file must be referred to the Credit Committee in accordance with the governance structure established under Chapter 13. At every stage of escalation, the full decision record, including all fields described in Section 16.12, must accompany the file.

16.17.3 Documenting an Exception

An exception occurs where a decision departs from the standard interpretation of one or more indicators described in this chapter. Every exception must be documented with the same rigor as a standard decision, and must additionally include a specific statement of which standard interpretation was departed from, the specific facts of the file that justified the departure, and the name and role of the officer who approved the exception. Exceptions approved without this documentation are not valid under this framework regardless of the seniority of the approving officer.

16.17.4 Monitoring of Exceptions

The Credit Policy Secretariat maintains a register of all documented exceptions and reviews this register on a periodic basis to identify any emerging pattern that might indicate a need to revise the standard interpretation of a particular indicator, consistent with the governance responsibilities described in Section 16.15.2. A rising frequency of exceptions relating to the same indicator is itself a signal that should be escalated for policy review, independent of the outcome of any individual file.

16.18 Training and Competency Standards

16.18.1 Baseline Competency

All credit staff responsible for preparing or reviewing decision rationale under this chapter must complete initial training covering the classification scheme in Section 16.2, the evaluation principles in Section 16.3, and the documentation standards in Section 16.7, prior to being granted independent decision-making authority under Chapter 13.

16.18.2 Ongoing Competency

Credit staff must complete refresher training on this chapter on an annual basis, and additionally whenever a material revision to this chapter is issued. Refresher training should include review of recent case studies and any lessons arising from Internal Audit findings or exception monitoring under Section 16.17.4.

16.18.3 Quality Assurance Review

A sample of completed decision records is reviewed periodically by the Credit Policy Secretariat for consistency with the standards in this chapter, independent of the outcome of the underlying credit decision. Findings from this review are shared with the relevant staff member and their manager, and material or repeated findings are incorporated into the staff member's ongoing competency assessment.

16.18.4 New Analyst Mentoring

Analysts new to decision interpretation responsibilities should be paired with a senior underwriter for an initial period, during which completed decision records are reviewed jointly before finalization. This practice is intended to reinforce consistent application of the classification and evaluation principles described in Sections 16.2 and 16.3 from the outset of an analyst's independent responsibilities.

16.19 Illustrative Decision Narratives

16.19.1 Purpose

This section provides fully written decision narratives, in the form and level of detail expected in an actual decision record, for each of the four decision categories described in Section 16.7. These narratives are illustrative only and should not be copied into an actual file; every decision record must reflect the specific facts of the file under review.

16.19.2 Illustrative Approval Narrative

Supporting Evidence: Verified employment of nine years with current employer; verified income confirmed through payroll documentation; credit bureau report confirming an excellent grade; repayment history showing no late payments across all reported accounts for the preceding seven years; revolving utilization well below Bank guidance thresholds.

Primary Factors: Excellent credit grade and verified income comfortably in excess of servicing requirements.

Secondary Factors: Long, stable employment history and low revolving utilization, both reinforcing the primary factors.

Risk Summary: The applicant presents a uniformly favourable profile with no identified negative indicators of note. Residual capacity after the proposed obligation remains substantial.

Professional Recommendation: Approve at standard terms for the requested amount, with no additional conditions required.

16.19.3 Illustrative Conditional Approval Narrative

Supporting Evidence: Credit bureau report confirming a strong grade and an unbroken favourable repayment history across all reported accounts; income stated by the applicant but not yet supported by independent documentation at the time of initial review.

Primary Factors: Strong credit grade and excellent repayment behaviour.

Secondary Factors: Long credit history and moderate, well-managed existing obligations.

Conflicting Evidence and Resolution: No conflicting evidence was identified within the credit-based indicators; the outstanding matter is a verification gap rather than a substantive conflict, and is addressed through the condition described below.

Risk Summary: Credit-based indicators are strong throughout. The file cannot be finalized as a standard approval until stated income is independently confirmed, consistent with Section 16.4.6.

Professional Recommendation: Approve conditionally for the requested amount, subject to submission of payroll documentation confirming stated income within fifteen business days; absent timely submission, the file will be treated as a decline pending re-application with complete documentation.

16.19.4 Illustrative Manual Review Narrative

Supporting Evidence: Credit bureau report confirming an excellent grade and a long, generally favourable credit history; the same report shows one reported delinquency within the preceding twelve months on an account not otherwise associated with adverse history.

Primary Factors: Not yet determined; the file presents directly conflicting indicators requiring further inquiry before a primary factor can be identified with confidence.

Conflicting Evidence and Resolution: The excellent grade and long favourable history conflict directly with the recency of the reported delinquency. The circumstances of the delinquent account have not yet been established and require direct inquiry with the applicant before the conflict can be resolved in accordance with Section 16.3.4.

Risk Summary: The file cannot be assessed with confidence until the circumstances of the recent delinquency are understood.

Professional Recommendation: Refer to senior underwriter for direct inquiry regarding the circumstances of the reported delinquency; no decision should be communicated to the applicant until this inquiry is complete.

16.19.5 Illustrative Decline Narrative

Supporting Evidence: Verified income confirmed through payroll documentation; credit bureau report confirming existing obligations that, combined with the requested payment, would result in a debt-to-income ratio substantially above Bank guidance; no reported delinquency; satisfactory credit grade.

Primary Factors: Debt-to-income ratio substantially above Bank guidance thresholds once the requested obligation is included.

Secondary Factors: Large absolute existing debt balance, reinforcing the primary concern regarding residual capacity.

Risk Summary: While the applicant's credit history is satisfactory and no delinquency is present, residual income after existing and proposed obligations falls below the level the Bank requires to support approval.

Professional Recommendation: Decline the request as submitted; the applicant may be invited to reapply for a reduced amount consistent with residual capacity, or following a documented reduction in existing obligations.

16.20 Frequently Encountered Questions

16.20.1 What If Two Analysts Reach Different Conclusions on the Same File?

Where two qualified analysts reach different conclusions on a file presenting the same evidence, this is a signal that the evidence is genuinely ambiguous and the file should be escalated in accordance with Section 16.17.1 rather than resolved by deferring to the more senior analyst's conclusion without further inquiry.

16.20.2 How Many Positive Factors Are Needed to Offset a Major Negative Indicator?

There is no fixed numerical answer to this question. As described in Section 16.3.5, a compensating strength must be shown to relate directly to the specific weakness it is offsetting; a larger number of unrelated positive factors does not substitute for a single, directly relevant compensating strength.

16.20.3 Should Older Adverse Events Ever Be Disregarded Entirely?

Older adverse events should never be disregarded entirely, but the weight given to them should reflect their age and the borrower's subsequent conduct, consistent with the treatment described in Case Study Nine (Section 16.13.2). The decision record should always note the historical event, even where it is not treated as determinative.

16.20.4 What Should Be Done When Required Documentation Cannot Be Obtained?

Where required documentation, such as income verification, cannot be obtained within a reasonable period, the file should not be approved on the basis of unverified information; it should instead be declined for incomplete documentation or held pending receipt of the required evidence, consistent with Section 16.5.8.

16.20.5 How Should Analysts Handle a File That Does Not Clearly Fit Any Scenario in Section 16.6?

The scenario library in Section 16.6 is illustrative and does not cover every possible combination of indicators. Where a file does not clearly correspond to a listed scenario, analysts should apply the general principles in Section 16.6.3 and the evaluation framework in Section 16.3 directly, and should consider proposing the new scenario for inclusion in a future revision of this chapter.

16.20.6 Can a Decision Be Revisited After It Has Been Communicated?

A decision may be revisited where new, material information becomes available that was not part of the original record, or where an error in the application of this framework is identified. Any revised decision must be documented as a distinct decision record referencing the original, with a clear explanation of what changed and why, rather than by amending the original record.

16.21 Presenting Files to the Credit Committee

16.21.1 Purpose of Committee Presentation

Where a file is escalated to the Credit Committee under Section 16.17.2, or where Committee review is otherwise required under Chapter 13, the presenting analyst must organize the file in a manner that allows the Committee to reach an informed, independent view within the time available for review. This section describes the recommended structure for such a presentation, building on the five-element justification framework in Section 16.7.

16.21.2 Recommended Presentation Sequence

- Open with a brief, neutral statement of the applicant and the request, without stating a preliminary conclusion.
- Present the Supporting Evidence in full, including evidence that does not favour the recommended outcome.
- Identify the Primary and Secondary Factors, explicitly linking each to specific evidence already presented.
- Where conflicting evidence is present, state it plainly and explain the steps taken to resolve it, including any additional inquiry undertaken.
- Present the Risk Summary in balanced terms.
- Conclude with the Professional Recommendation and invite Committee discussion before any vote is taken.

16.21.3 Handling Committee Questions

Where a Committee member raises a question about a factor not fully addressed in the presentation, the presenting analyst should acknowledge any genuine gap directly rather than offering a speculative answer. Where the file requires further information to answer a Committee question with confidence, the appropriate response is to note the gap and, if necessary, defer the decision pending that information, consistent with the standards in Section 16.1.4 regarding evidence-based decision making.

16.21.4 Recording the Committee Decision

The outcome of Committee review, including any dissenting views expressed, must be recorded in the decision record maintained in the loan origination system, in addition to any minutes maintained separately for governance purposes. The recorded outcome must be consistent with the five-element structure applied to any other decision under this chapter.

16.22 Interaction With Post-Approval Monitoring

16.22.1 Carrying Forward Identified Negative Indicators

Where an approval is granted notwithstanding one or more identified negative indicators, those indicators should be flagged for inclusion in the borrower's post-approval monitoring profile maintained under Chapter 15, so that any deterioration relative to the position at origination can be identified promptly.

16.22.2 Feedback From Portfolio Performance

Portfolio performance trends identified under Chapter 15 should, where relevant, inform periodic review of the driver classifications in Section 16.2 and the scenario library in Section 16.6. Any proposed change arising from such trends must follow the chapter maintenance process described in Section 16.15.3.

16.22.3 Closing the Loop

The interpretation standards in this chapter and the monitoring standards in Chapter 15 are designed to operate as a continuous cycle: decisions are made and explained under this chapter, outcomes are observed under Chapter 15, and any resulting insight is fed back into the interpretation standards through the governance process described above. Credit staff at every level are expected to participate in this cycle by documenting decisions to the standard required and by escalating observed patterns through the channels described in this chapter.

— End of Chapter 16 —